

FEB MARCH 2018 V12

1-D:

A: Statement A is correct as economic actions can produce unexpected side effects that can be both, positive and negative

B: Yes, this is correct as well because economic thinking is based on logic. Theories presented by economists for example: law of demand is based on logic as a fall in price of a good when makes it cheaper, brings an extension in qty demanded of it

C: This is correct as well as the usage of scarce resources to produce a good always involves an opportunity cost, that is, the real cost of choosing an option and not the another, or in other words, the value of the next best alternative foregone.

D: This statement is not correct and is therefore the right choice. This is because not all values of goods and services are purely objective that is, they not all of them can be tested or verified using factual evidence. In economics, value is often understood in terms of **subjective value** or utility. Different individuals have **different preferences, tastes, and needs, which influence how they perceive the value of a good or service.**

2-C:

- 2 A farmer is able to grow three crops, X, Y and Z, on his land. The farmer decides to grow at most two crops in any year. The table shows six possible combinations of units of output of the three crops.

This means that we will calculate the maximum values.

	output										
X	0	+	0	+	80	+	40	+	40	+	0
Y	0	+	60	+	0	+	30	+	0	+	30
Z	40	+	0	+	0	+	0	+	20	+	20

Total output

→ 160

→ 120

→ 80

What is the opportunity cost of 1 unit of X?

- A 1.33 units of Y *X*
 B 1.5 units of Y *X*
 C 0.5 units of Z
 D 2.0 units of Z *X*

160X : 120Y

1X : 120/160Y

1X : 0.75Y

160X : 80Z

1X : 80/160

1X : 0.5Z

3-D:

A: This statement is incorrect, as **capital goods** is a more "capital intensive output" than labor intensive goods.

B: This is a general statement that consumers always aim to maximize their utility from consumption., and has nothing to do with why PPC is drawn “concave to the origin”

C: The fact that profit motive can encourage efficiency is not a reason why PPC is drawn concave to the origin.

D: The reason why PPC has such a shape is that, there is an existence of increasing opportunity cost, as for an additional consumer good, more of capital goods will have to be foregone.

This occurs because resources are specialized or in other words, best suited for production of one type of good and due to them being immobile, they cannot be easily switched in between production processes without a loss in efficiency. This is why, key D, becomes correct

4-A:

Regulation represents a rule meant to carry out a specific piece of legislation , such as , for the protection of environment.

A: This branch regulates markets of “**alcohol ,tobacco, fire-arms and explosives**”, that are de-merit goods, and it aims to reduce the harm from demerit goods, thus making this correct.

B: This does not regulate essential items or basic necessities; therefore, this can't be the answer, **and importantly, subsidy is not a regulatory policy**

C: Regulation is broadly defined as **imposition of rules by government, backed by the use of penalties that are intended specifically to modify the economic behavior of individuals and firms in the private sector**. Also , it regulates the markets of “alcohol and tobacco etc.” that are examples of demerit goods which have inelastic demand. Since mostly these goods do not have an elastic demand and also, through regulation ,the supply is restricted rather than encouraged that would have other-wise caused a rise in revenue, therefore this option becomes incorrect.

D: Through regulation of markets of harmful goods such as tobacco , the employment in the manufacturing industry is not safeguarded, therefore making this incorrect.

5-D:

Price of the good itself and quantity can be varied.

A- Consumers tastes is another factor that affects demand which is held constant while creating a market demand curve.

B- The distribution of income is also a factor affecting demand which is held constant.

C- The price of related goods-substitutes and complements , is also another factor that is held constant.

D- Market demand curve is the horizontal summation of individual demand curves in a market, and the price of a good is variable, that is it can be varied, thus making it the correct option.

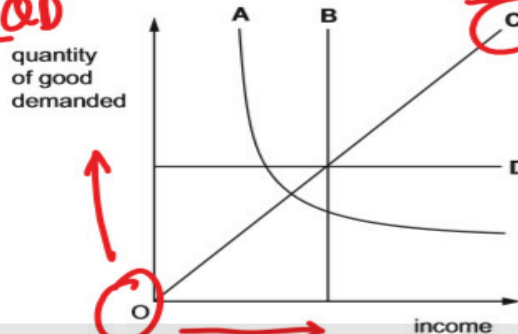
6-C:

6 The diagram shows how the quantity demanded of four goods changes as income changes.

Which good has an income elasticity of demand which is always +1?

$YED = \frac{\% \text{ change in QD}}{\% \text{ change in income}}$

* When line starts from origin, this represents an equal change.



→ +1 represents equal change in quantity demanded and income.

7-D:

4

7 The table shows three different prices and quantities supplied per week of two products, X and Y.

price of X (\$)	quantity supplied of X	price of Y (\$)	quantity supplied of Y
10	80	30	60
15	100	40	64
20	110	50	80

Which statement about price elasticity of supply (PES) is correct?

- ☒ A The PES of X is elastic for a fall in its price from \$15 to \$10.
- ☒ B The PES of X is unitary for a rise in its price from \$15 to \$20.
- ☒ C The PES of Y is elastic for a fall in its price from \$40 to \$30.
- ☒ D The PES of Y is unitary for a rise in its price from \$40 to \$50.

8-D:

A, B and C-Since the car drivers are buying more fuel as a result of an increase in supply of fuel because the price of oil that is used in manufacture has fallen, there should not be a rightward or a leftward shift in the demand curve for fuel.

D-Oil is an important raw material used in the manufacture of fuel, a decrease in its price will cause the cost of production to decrease, thereby causing an increase in supply. As a result of surplus in the market for fuel, the equilibrium prices of fuel will fall, thereby causing an extension in qty demanded of fuel that is more drivers are now involved in buying fuel, thus making it the correct answer.

9-C:

Market demand will be calculated by adding individual demand from three firms: X, Y, and Z.

And an equilibrium will be established when market demand is equal to market supply.

A-At price level of 7, the total market demand is 9900 ($3300+3300+3300$), whereas the total market supply is 3300, since demand and supply are not equal, an equilibrium is not established.

B-At price level of 8, the total market demand is 9100, which is not equal to the market supply of 6200.

C-At price level of 9, market demand is 8200 which is equal to the market supply of 8200, therefore an equilibrium has been established, thus making it the answer.

D-At price level of 10, the market demand of 7300 is not equal to the market supply of 10,000, therefore making this option incorrect.

10-D:

Explanation: In the question, there is a leftward shift in the supply curve for diamonds shown, as a result of which, there is a rise in price from P_1 to P_2 . That means we are interested in an option that results in a reduction in supply.

A-A fall in the price of substitute gems would cause a fall in demand for diamonds, instead of causing a leftward shift in the supply curve, therefore this option is incorrect.

B-A fall in tax on diamonds would reduce the cost of production of diamond, thereby result in an increase in supply, instead of a decrease, which is why this option is incorrect.

C-A rise in productivity of diamond miners, would lead to an increased efficiency and reduction in costs, again causing the supply to increase, thus making it wrong.

D-A rise in wages paid to miners would increase the costs of production of diamond producers since labor costs form the greatest proportion of total costs of a firm, thereby reducing supply, and causing a leftward shift in the supply curve, thus making it the answer.

11-C:

EXPLANATION:

Upon a decrease in the price of good Y that is the substitute, there is a fall in demand for good X, Since there is a positive relationship between the price of one good and the demand of another in case of substitutes .Whereas, an increase in price of good Z , that is the complementary good also causes a fall in demand for good X ,since there is a negative relationship between price of one good and demand for another in case of complements. This can be seen in figure **below**.

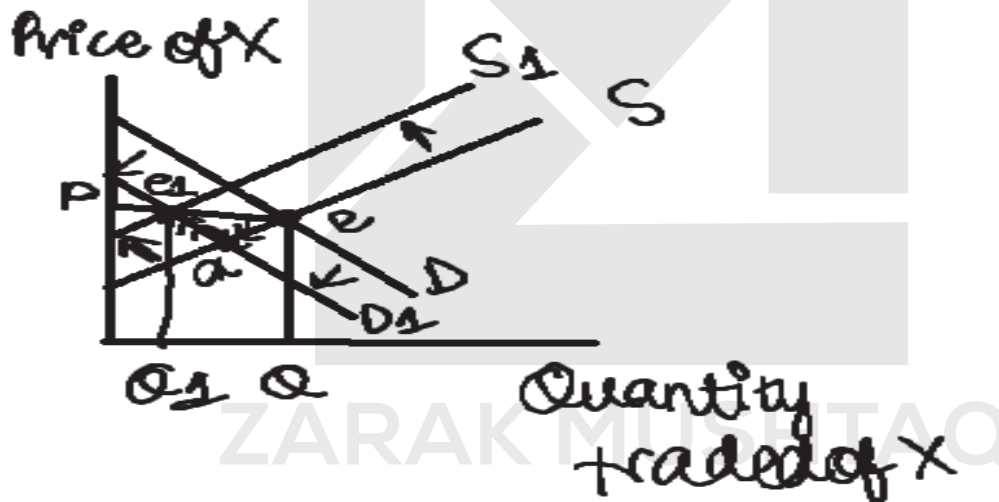
A result of this is a **fall in equilibrium price**, and in order for the **equilibrium price to remain unchanged**, we will need a **leftward shift in the supply curve**, or in other words a **fall in supply**, that causes a **rise in equilibrium price**, and therefore the **net effect on price will be that it will remain unchanged**.

A-When producers adopt new technology, there will be a technological advancement, therefore causing a rightward shift in the supply curve, thus making this option incorrect.

B-When producers of good X receive a subsidy, it will reduce cost of production, thereby causing a rightward shift in the supply curve, thus making it incorrect.

C-When firms stop production of X ,there will be a fall in supply, as a result of which this option is correct.

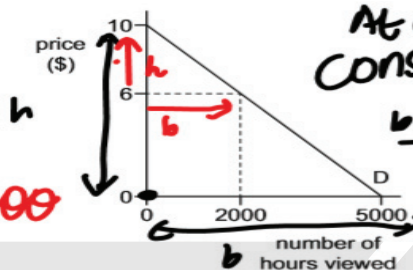
D-When the tax on production is cut, the cost of production will reduce, thereby causing a rightward shift in the supply curve, thus making this incorrect.



12-C:

12 At first, a television service is available at no charge. The television company then charges viewers \$6 per hour to watch its programmes. The demand curve is D.

At a charge of 6,
C-S $\Rightarrow \frac{b \times h}{2} \rightarrow \frac{2000 \times 4}{2} \rightarrow 4000$



At 0 charge.
Consumer surplus = $\frac{b \times h}{2} \rightarrow \frac{10 \times 5000}{2} \rightarrow 25000$

What is the value of the loss in consumer surplus and what value of consumer surplus remains after the introduction of the hourly charge?

	lost consumer surplus (\$)	remaining consumer surplus (\$)
A	9 000	4 000
B	9 000	16 000
C	21 000 ✓	4 000 ✓
D	21 000	16 000

Loss in consumer surplus
 $\Rightarrow 25000 - 4000 = 21000$

13-C:

Producer surplus is the difference between the minimum price a producer is willing to accept and the total price he ends up charging.

After an increase in supply from S1 to S2, the new equilibrium price will be H

The new equilibrium point will be N

The minimum price accepted at the new supply curve will be K

Therefore, the new producer surplus is "HNK".

A: The area "GMJ" represents the old producer surplus.

B: The area "HNF" represents the consumer surplus.

C: The area "HNK" represents the new producer surplus, therefore making this option correct.

D: The area "KNTD" represents total expenditure minus new producer surplus

14-B:

A: Imposition of a minimum price for labor will result in a rise in wages and in turn a rise in costs of production, thus making this incorrect.

B: This is correct as a rise in wages through the minimum wage legislation will make the low-income earners relatively better off, thus reducing income inequalities

C: A rise in wages will lead to a contraction in demand for labor by the employer, and an extension in supply of labor, resulting in a "rise in unemployment"

D: A rise in wages when increases costs results in a fall in Aggregate supply and in turn results in a rise in cost push inflation.

15-D:

We are interested in an option that results in a leftward shift in the supply curve

A; A decrease in the costs of producing a good will increase the supply of the good

B: A decrease in demand for good X will cause a leftward shift in the demand curve

C: An increase in the price of the substitute good will cause a rise in demand for the good, since there is a positive relationship between the price of one good and qty of another in case of substitutes.

D: Imposition of tax will cause a rise in costs, leading to a fall in supply of the good, thus making this correct.

16-A:

16 The table shows the demand and supply schedules for a product before and after the government pays a subsidy of \$4 per unit to the producers.

* equilibrium price falls by \$2

Equilibrium before subsidy

price \$	quantity demanded (units)	quantity supplied before subsidy (units)	quantity supplied after subsidy (units)
6	250	50	150
8	200	100	200
10	150	150	250
12	100	200	300
14	50	250	350

* consumer benefit = \$2

→ equilibrium after subsidy.

Savings of original consumers :-
Consumer benefit x original Qty

2 x 150 ⇒ \$300

Assuming that any extra sales are to new consumers, how much do the original consumers of the product save as a result of the subsidy?

- A \$300 B \$600 C \$900 D \$1500

17-C:

- A- This is incorrect as transfer payments do not reward productive activity, instead they are payments made without goods and services being exchanged in return.
- B- It is not always provided by the government ; many private sector firms provide a pension programme to their workers
- C- Yes, transfer payments for example :unemployment benefits may create disincentive effects for workers who would now not be motivated to work, resulting in “voluntary unemployment”
- D- Transfer payments will not include the sales of new cars.

18-B:

- A- It is not in the case of public good but private good, that there is “competition from private sector producers ”
- B- This is correct as due to free rider problem, that is whereby consumers are aware that they will be able to enjoy equal benefits associated with a particular good, for example, streetlights without paying for them, as those who pay for them , and therefore there is no mechanism to charge prices, government can face problems in estimating demand. The absence of price mechanism and price signals means that **there will be a problem in form of “estimating demand”**
- C- Trade diversion involves moving from more efficient to less efficient production , and has no link with public goods
- D- Rivalry is a characteristic of a private good; instead public goods exhibit “non-rivalry”

19-C:

- A- Because of a fall in the average price level , there will be a rise in the country’s international competitiveness as export-oriented goods become relatively cheaper.
- B- As price level falls, households and firms require less money to handle their transactions .However, the supply of money is fixed, and the reduced demand for a fixed supply of money causes the price of money , the interest rate to fall . This is why, this cannot be the answer.
- C- This is because of inflation , that the purchasing power of money falls in real terms, or in other words, the real value of money falls , thus making this the answer .**And similarly, a fall in the average price level will lead to a rise in the real value of money.**
- D- Expectation of further price falls may occur in a period of low confidence that is when consumers delay spending, thinking that prices will fall more in future ; this has nothing to do with why Aggregate demand curve slopes downwards.

20-C:

An increase in government spending on education represents injections into the circular flow, resulting in a rise in **Aggregate demand**.

An increase in wage rates will cause a rise in costs, subsequently causing a fall in **Aggregate supply**

This is how, a new equilibrium will be achieved from X TO C.

21-B:

Increase in Real national output = Increase in nominal output(output in terms of money prices)- Rate of inflation

Real national output = 8%-3% i.e. 5%

Therefore , option B is correct.

22-D:

- A- No, there is no year of constant prices since prices are rising in every year
- B- No, this is incorrect because deflation has occurred in none of the years, as in all the years , the CPI rate of inflation is in positive. In none of the year, it is negative.
- C- No, this is incorrect as well , as **inflation (that is a persistent and a sustained rise in the general price level of an economy, is occurring in all the years.) Note: Disinflation also contributes to inflation.**
- D- Yes, this is correct as CPI represents changes in the costs of living. Since in all of the years, prices are increasing, either the rate is increasing or the rate is decreasing, we can say that there is a rise in the cost of living in all the eight years.

23-A:

Current account has the following components:

Trade in goods

Trade in services

Net incomes

Net transfers

Earlier, 95% of Australian exports were facing tariffs, now after they are removed, there will be more exports that is there will be a greater inflow under the Balance of trade section of the “current account”

And since, Chinese investors are investing in Australia, this represents an inflow in the financial account of Australia.

This is why, option A is correct

24-B:

The Turkish currency is depreciating, this means that its imported goods will appear expensive, therefore it will contract the demand for its imports.

And since Turkey reduces the demand for its imported goods , production in Egypt will eventually decrease, as Turkey is seen to import from Egypt.

And since, its export-oriented goods appear relatively cheaper, Turkey will face an extension in qty demanded of exported goods, therefore resulting in Turkey expanding its scale of production .**In other words, production in Turkey will increase.**

25-A:

Terms of trade is the ratio of export prices to the ratio of import prices. It will rise when export prices rise and import prices fall

- A- If export prices rose relative to import prices, this represents a rise in numerator relative to denominator, subsequently leading to an improvement in the terms of trade
- B- Terms of trade is not about Balance of Trade, instead it is about prices.
- C- If volume of exports exceeded the volume of imports, a possible reason may be a fall in the prices of exported goods, so it is more likely representing a worsening effect on the terms of trade.
- D- We cannot determine what has happened to export prices and import prices, based on the information of volume of exports rising faster than the volume of imports

26-A:

- A- A custom union comprises of a free trade area with a common external tariff, therefore making this correct.
- B- A monetary union is a form of economic and monetary integration in which multiple countries adopt a single currency and establish a common monetary policy. **This statement represents a "monetary union"**
- C -A custom union does not involve usage of a common system of taxation.
- D - A free movement of goods and services and factors of production represents "economic union"

27-A:

A) "It increases the standard of living of the population in general." This option is not generally regarded as economically valid. Protectionism tends to limit competition and reduce the availability of imported goods, which can result in higher prices and limited consumer choices. This reduction in competition can hinder innovation and efficiency gains, which are important drivers of economic growth and improvements in the standard of living.

B) "It prevents heavily-subsidized imports from competing unfairly against domestic goods." When foreign producers receive significant subsidies from their governments, it can lead to artificially low prices for their goods. This can undermine domestic industries that do not receive similar subsidies, creating an unfair competitive advantage. **This represents the "dumping argument"**, that is a valid reason for protectionism.

C) "It provides time for the protected industry's workers to be retrained for other work." This argument is often considered valid as this **represents the "sunset industry argument"** When an industry faces significant disruption or decline due to competition from imports, protectionist

measures can provide a temporary shield, allowing workers to adjust and acquire new skills for alternative employment opportunities, **helping them to prevent from being structurally unemployed.**

D) "Once the protected industry becomes established, it will produce efficiently." This represents the sunrise industry argument as sunrise industries represent newly established industries, and protectionism allows them to gain their footing, by protecting them from foreign competition.

28-B:

A and D: Fixing an exchange rate and tightening credit limits or reserve assets requirement for financial institutions represents "monetary policy", as monetary policy involves the government manipulating money supply, interest rate and exchange rate to influence Aggregate demand

B: Managing the level of government debt will require the government making changes to its spending, and fiscal policy involves the government manipulating its spending and rate of taxation to influence Aggregate demand.

C: Providing guidance to the industry and the public may be a part of government's education and training schemes, representing "supply side policy"

29-A:

- A-** Appreciation of the exchange rate would lead to imported goods becoming relatively cheaper, and a situation whereby the demand for them is elastic, would lead to an extension in qty demanded of imported goods by a relatively higher percentage, contributing to an increase in import expenditures, which will have a worsening effect on the deficit, thus making this **option correct.**
- B-** An increase in domestic productivity would result in a fall in costs and in turn a fall in the prices of exported goods, which will cause a rise in export revenues, leading to the deficit being reduced.
- C-** Introduction of import quotas would result in a fall in the qty of goods imported and in turn a fall in import expenditures, leading to a reduction in the deficit.
- D-** An increase in subsidies would result in a fall in costs and in turn a fall in the prices of exported goods, which will cause a rise in export revenues, leading to the deficit being reduced.

30-B:

A) Increasing the government's budget surplus: Increasing the government's budget surplus involves reducing government spending or increasing tax revenue to generate a surplus. Reductions in government spending can further dampen aggregate demand and worsen the deflationary pressures.

B) Increasing liquidity by assisting banks to lend more: This option is considered the most immediate response to a deflationary economic downturn. Deflation occurs when there is a persistent decrease in the general price level, arising because of reduced consumer spending and business investment. By assisting banks to lend more, liquidity in the economy increases. This injection of liquidity provides consumers and businesses with easier access to credit, encouraging borrowing, spending, and

investment. Increased consumption and investment can boost aggregate demand, stimulate economic activity, and help counter deflationary pressures

C) Investing in projects to improve transport networks: Investing in projects to improve transport networks, such as infrastructure development, can have long-term benefits for the economy , therefore, it is not the most immediate response to address a deflationary economic downturn.

D) Switching the burden of taxation from earning to spending: Shifting the burden of taxation from earning to spending refers to policies that reduce taxes on income and increase taxes on goods and services. **While a reduction in income taxes can increase disposable income and in turn a rise in consumption expenditure , an increase in indirect taxes will decrease Aggregate supply, resulting in cost-push inflation , and this rise in prices will subsequently lead to a fall in real incomes, resulting in a fall in consumption. The net effect on Aggregate demand is likely to remain unchanged, thus making this incorrect.**



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